Scope 3 emissions

Scope 3 includes indirect emissions from upstream and downstream sources in our value chain. We identify scope 3 emissions sources in accordance with the GHG Protocol Scope 3 Standard and perform extensive data collection for reporting requirements. We report emissions from our most significant scope 3 categories: purchased goods and services, upstream transportation, market-based energy activities and from the use of sold products. We also report emissions from business travel.

Scope 3 emissions make up the largest portion of our Dell GHG inventory. Within scope 3, emissions that are associated with the goods and services we purchased (category 1) and those associated with the use of our sold products (category 11) are the largest contributors.[6] We have the largest opportunity for emissions reduction in these categories and each are directly associated with a climate action key driver.

KEY DRIVER

By 2030, we will reduce absolute scope 3 GHG emissions from purchased goods and services by 45%

FY23: 18,238,800 MT CO_2e.* We are in the process of restating our emissions for this category to make each year comparable and to provide a cumulative comparison to our FY20 baseline.

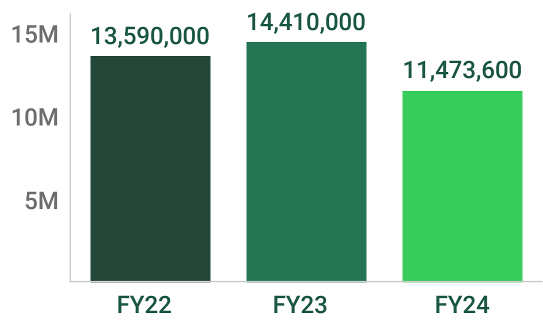
*Due to the one-year lag in supplier emissions data, progress against the current year is not available.

Category 1 includes emissions from purchased goods and services. As done in our previous ESG reports, we provide scope 3 category 1 emissions with a one-year lag given the timeline of suppliers reporting their emissions data. For FY23, we reported our scope 3 category 1 emissions as 18,238,800 MT CO_2e. This is a part of the dataset used to calculate the Dell GHG inventory.

We continually refine our scope 3 category 1 emissions calculations by updating Dell's quality controls and working with suppliers to receive more accurate data. Overall, these improve our calculations but can make year-over-year dataset comparisons challenging. We are initializing the process of re-baselining as part of our efforts to accurately measure our progress.

KEY DRIVER

By 2030, we will reduce absolute scope 3 GHG emissions associated with the use of sold products by 30%



MT CO_2e of scope 3 category 11 GHG emissions

22.2%
reduction from our FY20 baseline

Category 11 includes emissions from the use of sold products and accounted for 11,473,600 MT CO_2e in FY24. This category contains commercial and consumer products including desktops, notebooks, displays, docking stations, servers, storage and networking systems. Customer use of our data center server products had the largest impact on our scope 3 category 11 emissions and many of our innovations involved product energy efficiencies for data center hardware and software solutions.

The amount of product that we ship is a large factor on our category 11 emissions. Also, emissions from the use of sold products contain several levers we have varying influence over, which can make year-over-year trends non-linear.[7] Examples of levers in category 11 we have lower influence over are projected power consumption changes or the public grid energy mix. We continue to develop and implement initiatives where we have influence to reduce lever-type impacts on our category 11 emissions. Examples of levers we have higher influence on are product efficiency designs and telemetry sourced from customer usage profiles.

The By the Numbers section of this report contains additional figures and information on GHG emissions.